



Financing Resilience and WEFE Nexus Professional Series - Exercise Pack

Opening Exercise: Resilient WEFE Project Selection & Prioritization

Objective:

Enable participants to identify potential Resilience and WEFE Nexus projects, evaluate their integration, and prioritize them for investment based on technical, financial, and resilience criteria.

Duration: 45-60 minutes

Format: Small groups (3-5 participants), plenary discussion at the end

Step 1: Introduce the Exercise (5-10 min)

- Explain the goal: ministries often have many water, energy, food, or ecosystem projects in planning. The challenge is selecting projects that:
 - Maximize integration across WEFE sectors
 - Improve resilience (climate, resource, financial)
 - Are attractive to financiers (bankable, low-risk, high co-benefit)
- **Show a sample project list (5-7 hypothetical projects), e.g.:**
 1. Solar-powered irrigation system in a water-scarce region
 2. Wastewater reuse and energy recovery plant for agriculture
 3. Agro-industrial efficiency upgrade (irrigation + renewable energy + waste valorization)
 4. Forest and wetland restoration for flood mitigation
 5. Integrated water storage and microgrid system for rural communities

Step 2: Group Activity - Initial Screening (15-20 min)

Instructions:

1. Each group receives the project list and a simplified WEFE Screening Table.
2. For each project, assess:
 - Sector Integration: Which WEFE sectors are covered? (Water, Energy, Food, Ecosystems)
 - Co-Benefits: Potential for climate adaptation, resource efficiency, or revenue increase
 - Financial Feasibility: Likelihood to attract finance (high/medium/low)



- Resilience Impact: Contribution to climate or systemic resilience (high/medium/low)

Template - WEFE Project Screening Table:

Project	Sectors Covered	Co-Benefits	Finance Potential	Resilience Impact	Preliminary Priority (1-5)
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3. Groups rank the projects based on overall integration, co-benefits, resilience, and bankability.

Step 3: Plenary Discussion (10-15 min)

- Each group presents their top 2-3 project choices and justification.
- Discuss differences: Why did some groups prioritize certain projects over others?
- Introduce real-world criteria used by financiers, e.g.:
 - Minimum integration measure required
 - Risk mitigation potential
 - Revenue model clarity and cashflow stability
 - Alignment with climate finance and co-benefit metrics

Step 4: Wrap-Up (5 min)

- Highlight key learning points:
 1. Not all multi-sector projects qualify as WEFE Nexus projects – integration must be meaningful and measurable.
 2. Early-stage screening and prioritization improves bankability and funding success.
 3. This exercise is a replicable tool for ministries to select high-impact WEFE projects.

Lecture 1: WEFE Project Classification & Bankability

Objective: Identify and classify WEFE projects from a financing perspective.

Exercise: Project Screening & Classification

Format: Groups (5 participants)

Instructions:

1. Each group receives a **project brief** (e.g., irrigation, wastewater reuse, solar desalination).
2. Using the **WEFE Screening Matrix** (template below), classify the project:



- Which sectors are integrated? (Water, Energy, Food, Ecosystems)
 - Degree of integration (Minimal / Moderate / Full)
 - Identify **minimum integration measures** to improve bankability.
3. Assess the **impact on finance access**: potential for green/climate finance, blended finance, or concessional loans.

Template - WEFE Screening Matrix:

Project Component	Integration Level	Risk Impact	Bankability Improvement Measures
Water			
Energy			
Food/Agriculture			
Ecosystem			
Enablers (Digital/Governance/Finance)			

Deliverable: 1-page summary + 3-minute group presentation

Lecture 2: Integrating WEFE into Existing Projects

Objective: Apply WEFE principles to enhance project economic value.

Exercise: Retrofitting WEFE for Cost & Value Optimization

Format: Groups, 60 minutes

Instructions:

1. Analyze an **existing project case** (e.g., agro-industrial plant with high energy/water costs).
2. Identify:
 - Key inefficiencies in water, energy, food, and ecosystem management
 - Potential **integration solutions** (renewables, water reuse, waste-to-resource, nature-based solutions)
 - Financial implications (OPEX savings, revenue increase, reduced risk)
3. Prepare a **WEFE Integration Plan**:
 - Short-term: Low-cost, immediate impact
 - Medium-term: Capital investment, system changes
 - Expected improvement in bankability and resilience

Deliverable: Action plan (1-2 pages) with estimated cost savings, revenue gains, and co-benefits



Lecture 3: Capital Stack & Financing Instruments

Objective: Match financing instruments to project type, risk, and stage.

Exercise: Designing a Capital Stack

Format: Teams, 60 minutes

Instructions:

1. Each group receives a **project profile**:
 - Public-good infrastructure (e.g., wastewater treatment)
 - Revenue-generating agri-tech project
 - Mixed public-private project (e.g., solar + irrigation)
2. Design a **capital stack**:
 - Grants / TA
 - Concessional debt
 - Commercial debt
 - Equity / quasi-equity
 - Blended finance / PPP
 - Green/climate bonds
3. Justify **instrument selection** based on:
 - Project stage (preparation, structuring, implementation, operations)
 - Risk profile and mitigation
 - Financing cost and bankability

Template - Capital Stack Table:

Instrument Type	Project Stage	Risk Coverage	Expected Outcome / Benefit
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Grant/TA			
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Concessional Debt			
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Commercial Debt			
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Equity / Sponsor			
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Blended Finance			
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Deliverable: 1-page team recommendation + rationale

Lecture 4: Operational Finance Risk Mapping

Objective: Identify and mitigate operational risks affecting cashflow and financing.



Exercise: Operational Risk Assessment

Format: Groups, 45 minutes

Instructions:

1. Scenario: Project facing **operational stress** (e.g., delayed payments, energy price spikes, drought).
2. Map key risks:
 - Revenue / demand risk
 - Collection / counterparty risk
 - O&M cost escalation
 - Regulatory / tariff risk
 - Climate / force majeure
 - Compliance / ESG risk
3. Design **mitigation measures**:
 - Contracts & KPIs
 - Financial reserves & cash waterfall
 - Insurance / guarantees
 - Governance & monitoring dashboards

Template - Risk & Mitigation Table:

Risk Type	Impact on Finance	Mitigation Tool	Expected Effect
Revenue/Demand			
O&M Cost			
Climate/Force Majeure			
Regulatory			
Others			

Deliverable: Group action plan with top 5 prioritized risks and mitigation measures

Lecture 5: Funding Call Fit Score

Objective: Evaluate funding opportunities for WEFE Nexus projects.

Exercise: Go / No-Go Call Analysis

Format: Individual or groups, 45-60 minutes

Instructions:

1. Provide **two sample funding calls** (research, climate, or implementation).
2. Apply **WEFE Fit Score (0-2)** on:



- Nexus integration
- Expected outcomes alignment
- Eligibility rules
- Partnerships feasibility
- Budget & co-financing requirements
- Implementation readiness
- MRV / safeguards

3. Decide **Go / No-Go** and justify:

- Pursue, partner, or drop
- Next steps for successful application

Template - WEFE Fit Score Table:

Criteria	Score (0-2)	Notes
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Nexus Integration

Expected Outcomes

Eligibility

Partnership Feasibility

Budget Alignment

MRV / Safeguards

Implementation Readiness

Deliverable: One-page call brief + Go / No-Go recommendation

Capstone Exercise (Optional) - All Lectures Integrated

Title: “Pitch Your WEFE Nexus Project to Investors”

- Groups select a **real or hypothetical project**.
- Integrate all previous steps:
 - Classification & bankability
 - Integration measures
 - Financing plan (capital stack)
 - Risk mitigation
 - Funding call assessment
- **Deliverable:** 5-minute pitch + 1-page summary with full justification